

The macro trading floor with me Alfonso Peccatillo, founder of the macro compass and former head of investments at the large European bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the art of currency trading. If you want to know what's going on in markets and where they're going, you found the right podcast. Hi everybody and welcome back to the macro trading floor. So happy to be back. Brent is back, Alf is back. How are you guys doing? But how is Brent doing? I'm great. I just got back from the OG homeland. So my real homeland is Canada, obviously, but then my homeland, homeland is Northern Ireland. That's where my ancestors came from in 1720 or whatever. So I was in Ireland for two weeks and man, it was beautiful. It was so good. So Brent is relaxed he came back and the first thing he wrote is What are you guys doing with this 50 basis point of ikes and now hiking in July are you completely out of your mind? Fade and then he he sent the note and then the day after we had a 10 basis point we are really so Brent Talk to us. What's your secret? So, you know, it's interesting like this territory has been kind of walked a bit already by a lot of people writing and stuff about the Fed because the Fed was, you know, more than a week ago. And so I had some arguments back and forth with people. And you know what it really comes down to? I realized after arguing with or like debating with people yesterday is do you believe worse or not? And the fact is, I just don't believe him. Like, I think that a new Fed government, a new Fed share coming in with inflation high. has to say certain things and he said those things and It absolutely doesn't mean that he means it or that he's gonna follow up in in real life with real action because You know it's not like there's a Fed chair that comes in and says you know what? We're not that worried about the inflation target like of course They're gonna say that you know That's what Powell said all the time, too And then they say and then they make a bunch of forecasts that it'll get back to target within two years and they don't react to to what's going on and the funny thing is though too is really whether you believe him or not I feel like there's an irony to the timing of his start because look at where oil is now it's barely higher than so if you compare February 25th of 2026 to now Atlanta Fed

GDP now is the same crude is up like whatever 3% unemployment rate is basically the same claims are higher

The only thing that really has changed, oh, and by the way, one year inflation break evens are lower now than they were before the war. But at that time we had two cuts priced. Now we have one and a half hikes priced. So I feel like the pendulum has gone way too far. And just like when Powell first came in, well, Powell came in February 2018, but he was trying to establish his credibility for a while. And in October 2018, he said, we're a long way from neutral. It's like, OK, the Fed is super hawkish. They're going to clamp down on inflation. And that was a high in yields. And it feels very similar to me, where he's saying things almost in a performative way, because that's what you do when you're a new Fed share. But the reality is you get one week payrolls and oil back at 65. And the FOMC meeting will sound a lot like all the other old FOMC meetings. Things are progressing well, heading towards target. No need to, you know, and the other thing too, sorry, one last thing is all the central banks move together, right? We've seen that, especially since COVID, they all move as a pack. And now the ECB and Bank of England are backing off and saying like, okay, we've kind of done what we needed to do. And I think the Fed will end up, I wouldn't be surprised if they don't hike this year, or maybe they hike once or something, but. you know July at 30 percent for example seems insane and September at 100 percent which it was seems high seems insane on the July I agree the night of the Fed you were not there yet back from holidays and at some point I had a ping uh from my systems that said oh the July Fed is at 10 basis points I'm like okay must be a data which or something then I open my phone people are really paying 10 basis points for Fed July I mean that's 40 implied chance I'm like um sorry guys like 12 out of 12 voters at the FOMC have voted for a hold in June 12 out of 12 can you now you know how are we gonna master a majority to vote for a hike in July I still hold my ground there I the odds there are never zero, but they're maybe like 10%. They're not, especially with oil kind of collapsing and inflation expectations falling. You know, they're, they're going to see that obviously in July and probably read to it. I am a rates geek. I guess people know me by now, but I have to add something there. So when you look at inflation swaps, guys, please be careful. If you look at one year

inflation swaps, you're basically looking at comps, you're on your comps and because

Oil price starts from a very high base in the year in your calculations. There is you know something to take into account the second important thing is Inflation swaps had a very high correlation to oil prices very very high so they're Because the energy part of the CPI basket is non-negligible including second round effects is even bit more relevant Historically especially longer the inflation swap sent to have a decent correlation to oil so oil is dropping and inflation swaps are dropping is not exactly the same sentence, but roughly the same sentence, but it's still very valid. I would say as an argument, I mean, one of the reasons why we talked about all the hikes of DCB two, three, four hikes, whatever, is because of second round potential pass through effect of oil prices. But if oil price is at 70, I'm sorry, but what second round pass through what? So then, you know, that argument goes away. And I guess one one element in the time when things looked a bit scary on inflation, which is an area where maybe I'm wrong on this view about worse is that the AI capex and some other things like that are generating inflation as well. But I mean, none of it's feeding through to wages or expectations. So I don't really think it's worrisome. And yes, it's a fair statement that inflation breaks evens and expectations too. You know, they're always basically if you overlay oil with them you get the same thing and it obviously that's headline and the question is whether there's like a core services problem or whatever but I don't think with the war ending well this hasn't really ended but you know that's one thing that's absolutely amazing about this whole thing is straight a hormones closed for four months basically the worst case scenario as you know we're talking to any analyst or expert on Commodities or eggs or fertilizer or whatever. I mean remember all the stuff on Twitter and all that and like You know who knew I'm not criticizing those those analysts. It's just to me It's just mind-blowing that the absolute worst-case scenario has happened and Literally nothing happened, you know fertilizer prices are all the way back to where they were corn prices are lower Which was supposed to be like one of the transmission areas of where fertilizer would blast through oils unchanged essentially. So it's amazing. It's almost like capitalism found a way or actually maybe China, capitalism with Chinese characteristics found a way because they stopped consuming as much oil or they use their reserves or

whatever happened, but it's just unbelievable. And I guess it's one thing about extrapolation and

you know, whatever's going on in the market today is, you know, for it to continue requires a lot of things to happen because, you know, when obviously a lot of people were bullish energy on the shortage and, and hormones and all that. And to me, it's just unbelievable that nothing, literally nothing really happened. That's clear. Even though it's a clear victory for the nothing ever happens team. Yeah, absolutely clear victory. But one thing I wanted to say about the Fed is that two things actually, the first is, oh, the Fed is gonna hike once or twice. And that's very, very bad. Well, nominal GDP growth in the US or core nominal GDP growth is north of 6%. Guys, I am sorry, but a couple of bikes are gonna do absolutely nothing to damage the distribution of probabilities and returns ahead for many asset classes. The dollar and rates we can talk about, because there is a carry component into it, and there is a portfolio hedge component into it, which I find interesting. I mean, the dollar, basically we have been transported back to 2012 to 19, where you could be long equities and long the dollar, and your portfolio would be a very high, sharp portfolio, because every time you had a drawdown in equities, the dollar would rally. And in the meantime, being long the dollar was positive carry. So welcome to the holy grail of macro investing. Buy a positive carry portfolio hedge. Wow, then of course people are gonna want to buy it and it's working again today and it is positive carry against many currencies. So it naturally attracts flows. I would say but the most important thing is What will the Fed deliver versus what's price in distribution of probabilities and the median outcome for a year from now is about two hikes. But if you look at the distribution from options guys, holy crap like it's all skewed towards three, four, five, six hikes. Yes, they wrote to clients that the probability of six hikes in 10 months is the same as the probability of one cut. I mean, just to give you an idea how skewed that distribution is. So now, unless the Federal Reserve goes in and becomes Bank of Brazil, which I frankly doubt, you are going to have that tail there cut, right? That tail isn't going to deliver. And macro returns are often correlated to tails, not delivering. The Fed can hike twice, as long as it's as it is predictable, it's easy to understand, it's not a tail outcome, it's an understandable outcome. I don't subscribe to the idea that this should be a disaster for broad asset classes, scary and equity should go

down a mile because the Fed delivers one of two likes. I don't see it this way. There's a couple of things like that where I find

you know when something looks so wrong that you have to say shit maybe I'm wrong because you know if I think it's that wrong and the market's not usually that far off base then like maybe I'm misunderstanding a scenario like the RBNZ is priced for four hikes in the next year or that those tails that you're talking about those would essentially require 50 basis point hikes at some point because there's no way that the feds going to hike six times. So there would have to be a 50 basis point in there. And like that's quasi emergency 2021 style stuff. And it's pretty amazing. I mean, sometimes you do just get that because of forced hedging and things like that in mortgage books or whatever. But that's a really crazy tale. But anyways, let's let's move on to something that I find very interesting is I know you're more generally bullish equities and and like a couple hikes is okay, but a lot of if you look at like animal spirits I made this animal spirits index, which is just kind of like gold Bitcoin arc, you know things that are generally kind of our liquidity thermometers and They've all been destroyed right like gold and Bitcoin specifically arc is kind of in the middle, but it hasn't hasn't And it's nowhere near the highs. And normally when you see like dollar rallying gold down a thousand dollars or whatever, Bitcoin at the lows in micro strategy, doom loop talk, you would think that that shows that liquidity is not plentiful. And yet it does seem like their liquidity is fairly plentiful. So is it do you think that we're in a world of US exceptionalism? where there's tons of liquidity but it's just all flowing into the US and out of those other things or why do you not worry like a very basic liquidity person that's just looking at what's going on in the market might say liquidity doesn't seem that great real rates are at 2% and financial conditions maybe are a little tight if gold and bitcoin and stuff are doing this or do you think it's some kind of more like a rotation and it's meaningless for equities. So real rates at two percent with nominal growth at six six and a half. I don't have any problem with nobody should have a problem with that. I mean, I think this is still a bit like I read your piece, which made the reference to real rates back at Powell 2018, right? Yeah. But the macro conditions of nominal growth was very different in 2018 than it is now. And it's mostly a functional fiscal deficits, I would say that today are much stronger than they were in 2018 or 19.

So real rates in a vacuum, in my opinion, don't make too strong of a case for anything in macro. But if you compare real rates to nominal growth, I don't find them to be particularly tight or elevated, Brent. I think they're just fair. Real rates at two, nominal growth at six, I don't see what the problem is. The more important point that you made, in my opinion, has to do with the momentum liquidity driven assets, gold, Bitcoin. I would put them all in one basket and the basket is non cash flow generating momentum asset denominated in dollar. That's the basket. Yeah, the problem is there is that the denominator has become higher yielding. That's the dollar or at least implicitly higher yielding through the forward rates that are higher. That's the dollar, which means the carry on gold and silver. has gotten worse on a forward basis so you're owning an asset that carries negative gold or silver or arc that doesn't deliver any cash flow so pretty much the same thing you're holding them and it's negative carry it gets worse the denominator gets more expensive and i think that is also this idea which i disagree with by the way brand that worse is the new inflation squasher squasher is the new bank of brazil is the you know it's gonna get in front ahead of the curve and You can have forward curve curves which are flutter and inverted because it's gonna be so damaging to inflation that you can price away all the term premium and risk premium. That narrative is very negative for Bitcoin and gold and silver, right? That narrative is very bad because these assets are a monetary protest asset. They like when monetary authorities are not doing what's necessary to keep in check fiscal authorities and credit creation. And now the market thinks that works will do the Bank of Brazil approach here. And I, I, I don't think so. I don't think right. So I guess essentially if we look back to, if we listen to some podcasts from six months ago, we would have been talking about the debasement trade. And this is the rebasement trade, I suppose, or the basic, the debasement trade is going to the basement. Exactly. Correct. Yes. The debasement rate is going to the basement. This is the rebasement. This is the title of the podcast, the rebasement rate. Yes, exactly. And look, you can rationalize it. I think this way, saying gold and silver are negative carry, but you, in my opinion, it's much harder to rationalize. Fiscal deficits are not going away. Credit creation is not going away. That funded AI capex is not going away. Central banks reallocating away from FX reserves into gold, not going away.

and you have the dollar which is now priced on a forward basis to have a higher carry for sure but then you have to see whether works and the Fed deliver on these promises I mean now in the forward curve there's quite a lot of promises being built I would say of hawkish promises and as I said the distribution of the probabilities is very skewed to an even more hawkish set of outcomes I don't think those are gonna realize And so what what do you think about gold and silver then for like say say into your end? Yeah, we have a little thing here at the fund one of the frameworks we use it's called the euphoria index So we basically put together a bunch of measures to try and figure out how stretched a narrative is can be can be euphoric or gonna be fearful. It's it's a simple indicator looks at things like What's price in option markets in terms of skew and you know tails and looks at stuff like the deviation from the 200 day moving average. I think you use something similar but a shorter moving average. You just look at how much this thing has gone fast from a benchmark price, basically. Then you look at option markets, wealth yourself, RSI and other things. And gold has the lowest reading that I have ever seen in any of these indices, sorry, in the euphoria index for any of my underlying tickers. So it's really depressed. Also an option prices, by the way, the skew is inverted. People are bidding for downside protection. So when I look at that, the bar for gold to make money on a forward basis is very low. The bar is very low, but it still needs a catalyst, Brent. It still needs a catalyst. So you, for example, if I read your letters, you haven't gone short of the dollar yet. And maybe for the same reason, you need a catalyst, like you go short of the dollar based. I mean, how do you think about it? Yeah, so action versus catalyst. It's the same trade. If you think of it as the same trade, which it kind of is these days, like if you want to trade dollars, Swiss or gold, they've been very similar. And that's right. Like I feel like we're close to a point where positioning is overdone in the dollar and in twos. I mean, I already went long twos because I felt more comfortable doing that. But I think you're right that the dollar has a lot of momentum. The US exceptionalism trade has momentum. Yes, it's overcooked, but then yeah, why are you fading it just at some random point? You need some kind of catalyst and I guess to me the catalyst would either be the like some a little bit of weak data because I don't think you need very much given what Given what oil and everything is doing and inflation's doing it gonna probably do Or, you know, July FOMC probably would be a catalyst as well where

they can easily just sound dovish at that meeting and you know there is still a little bit priced in. The other one would simply be the turn of the month because a lot of times we do see the corporate dollar buying at the end of the month creates a feedback loop where the dollar starts rallying because the corporates are buying their month and dollar needs and then specs double down because tech levels like 114 broke in euro dollar so then people start doubling down on short euros. But ultimately, it's been a pretty clear and logical trade in the dollar where rate differentials and gold have kind of told the story, which is like the old school macro framework for what the dollar is going to do is look at gold and interest rate differentials and you should know most of the story. So I think until there's some kind of reason to either believe that we've overshot. Um, technically like some kind of technical signal, which I don't see anything yet. Or just like a data catalyst or July FOMC would ultimately probably be a decent catalyst where he could easily just come out and sound completely different and go, Hey, listen, the war is over. We're looking a bit better than we thought. You know, let's just see where in wait and see mode. And then all of a sudden September goes from 90 to 50. And then because it's at 50. The market realizes they don't actually have to hike if they don't want and then they end up not hiking in September. Like that's kind of how I would see it play out. But this is only June 25th. So right now, I think I titled one of my pieces like lurking or something like that. I feel like I'm just kind of lurking like. In fortnight when you're not very good at the game you hide in the bushes and wait for people to come by and then shoot them as they walk by. It's called bush camping and right now I'm bush camping waiting to sell dollars and buy gold. You're bush camping. I love it. Look the other thing I want to talk about which is somehow related to the same topic. There are two things one is emerging market and the other one is equity markets. Emerging market is the closest related in my opinion to this dollar problem or the epicenter of the problem. The main question I have for you is what do you think today the positioning in EM is? I mean, the MFX at Brazil and Zara and Mexico and all these things like F people capitulated because the dollars moved a lot against the emerging market as well in this move or do you still feel that it's relatively well owned? And what's your what's your feeling about it? So in our business, people have kind of backed off like



Most of the EM that we see, I mean, it's obviously skewed this way because of the nature of our business. But most of the EM that we see is options and people trying to capture the carry in Brazil and wherever via options. And people sometimes when you're in a trend where EM is strengthening the first correction, everyone just comes and piles back into Brazil. But people are a little hesitant now because of the bigger picture dollar story. and the political story in Brazil is a little bit different. And so, and then with Mexico, people are worried about USMCA. And then things like Hungary, it's too idiosyncratic. So people just do it and aren't really watching like the broad dollar because that's not as much of a factor. So I would say in the more dollar driven EM pairs, People's positioning is burning off because obviously they would mostly own dollar puts and those dollar puts are becoming worthless, but they're not racing to get back in. And then in the idiosyncratic EM, like like hungry, people just are not scared at all. Like people aren't worried about it. So I guess at some point if you get bearers dollars, they're really attractive entry points like Mexico, especially is getting up to the dollar max is getting up to the 200 day. And I don't think a lot of people have it. So there's a lot of fuel, I think, to go back into EM in the dollar, dollar EM stuff. But people are still nervous just about broad dollar strength. Okay, that's good to know. I think in general, the framework I'm using to look at this problem is this. As long as the Fed acts once or twice in response to a very strong nominal growth, which is what Brent and I kind of believe can happen. But the Fed doesn't become Bank of Brazil hawkish ahead of the curve hiking a million times Which by the way the market is pricing to a reasonable probability as long as the hawkish outcome doesn't happen in my opinion There is nothing too bad about being long emerging markets emerging markets and Kerry as a factor I would say Higher a slightly higher dollars lightly higher rates are not a problem as long as it's all within the body of the distribution as long as it's predictable Then I think emerging markets will be doing fine And I think positioning has also been cleansed pretty pretty strongly over there especially against the dollar I mean people might still belong to emerging markets against the euro for example for your carry play but against the dollar I think that's been cleansed and now and what are your like two favorite?

Like not necessarily the currency but the country or whatever what two countries do you think have the best fundamentals relative to pricing? I think the best story forward based are South Africa and Hungary those are for me the best stories Hungary is very well known by now We've done it in multiple flavors interest rates currencies. They're all working. I think The central bank is trying their best to slow down currency gains, but I don't think they will be able to it's a bit like Please gods of the market allow me this comparison. It's a bit like Switzerland now. I'm comparing Hungary to Switzerland. That's quite a stretch. It's quite a stretch. But just for framework purposes, as long as it has to do with capital flows, basically, which is what the Hungary story mostly is about. It's unlocking 20 something billion of European funds. It's getting access. It's joining the euro. I mean, we're talking about that type of capital flow revolution. Yeah, you can ask the SMB. about cutting rates to slow down the Swiss Franca. I don't think they've achieved much over the last few years. So I think the Hungarian foreign remains a very good idea over the long run. And South Africa brand is doing all the things that investors want to hear. They're now, first of all, they've lowered inflation target to 3%, makes them much more credible. There is no band anymore. There is a fixed 3% inflation target. The central bank is hawkish and doing their job. On the government side, they've slowed down fiscal deficits aggressively. They are now talking about implementing a fiscal rule, which basically will anchor them to keep delivering on these fiscal gains, let's say. They're getting upgraded by credit trading agencies, I mean. That is everything you would want to see, I guess, as an investor. Yeah, and then obviously there is Brazil, which is... But Brazil has to do with elections, and frankly... on polymarket at least Lula is flying I mean the guys opened up a gap against Bolsonaro or Renan Santos that it's pretty big gap I mean by this time I don't think that it looks pretty good for the right wing in Brazil oh I forgot actually my preferred currency that is gonna keep going in my opinion Colombia I mean I know it's not that invested and not that liquid yeah but Colombia I mean now they have a right-wing president and the central bank is free to hike another hundred basis points, which they wanted to do, but they were politically refrained from doing that before the elections. So you have massive carry and big capital flow coming there to unwind the risk premium price in Colombian markets from the prior governments. So Columbia, South Africa. Yeah,

that's been a great call, Alf. And a dollar, Columbia is actually at the lows, which is you can't say that for any other dollar pair. That's

Yeah. Yeah. Yeah. Colombia is, but because there was so much risk premium price then because of what the prior government had done, Brandon, this is simply unwinding the, you know, the private risk premium, but the care is so strong and the capital flow in my opinion will continue. So Colombia is a good thing to own Hungary and South Africa. Those are my three favorite. Okay. Nice. Um, it looks like we're almost out of time, but one thing I wanted to say because, uh, we have only about two minutes left is my new book is finally coming out on Monday. So. Man, it takes so long. Like I finished it in January, February, and then it takes so long for the layout and proofreading and indexing and all that. But anyways, trade outside the box. It will be on Amazon on Monday. The basic idea is that if you think like everyone else, you'll perform like everyone else, which if you know how relative performance is of around the world, that's not what you want to do. You don't want to perform like everyone else. going beyond fundamentals, techs, behavioral and quantitative trading, which are kind of like the box that you normally when you're reading books about trading, those are the things we talk about. Trying to think talk about things outside of the box. So like trading with AI and LLMs, prediction markets, narrative contagion, how poker compares to trading, metagame, ergodicity, all kinds of stuff that isn't normally talked about in trading books, but things that I've found really important in my career. So it's more of an advanced book for advanced traders and investors, I would say. And people can get it on Monday, Amazon June 28th. Wow, I'm so excited for you, man. I mean, you are you have this ability to keep producing trading books. And, you know, like, it's that is not so much directly from a trader with the experience you have on the market. So I'm going to buy you should do the same. You guys listening, please just go and buy brand on the listening book. Thanks. And we talk again. I'm available next week. I mean, it's not my fault. Brent went to Ireland because he had to feel close to his roots. Now he's back. I'm around if you want to talk next week as well. Yeah, we might have to do it earlier in the week. I think it's Canada Day and Fourth of July next week, isn't it? Canada Day and Fourth of July. I mean, you can see how European I am. I have no freaking clue. They're not even marked somewhere on my calendar. Sorry, Canadians and Americans, but we'll be

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